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Oracle Debt Breaches Record Highs

Read Research Report: Oracle Credit Research



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Oracle Debt, AI Leases Surge as Funding Flexibility Holds

Contributing Analysts Suchi Trivedi

(Bloomberg Intelligence) -- Oracle's AI build-out could keep its debt burden among the highest in corporate credit, but extraordinary revenue and Ebitda growth offer a path to eventual deleveraging. With $125 billion of debt and $288 billion of additional lease commitments, funding needs remain formidable. Yet Oracle has unusually broad options -- bonds, loans, private credit, hybrids, equity, customer funding and project-level financing -- that can limit balance-sheet pressure while it targets nearly 4x revenue growth by fiscal 2031. (10/07/26)

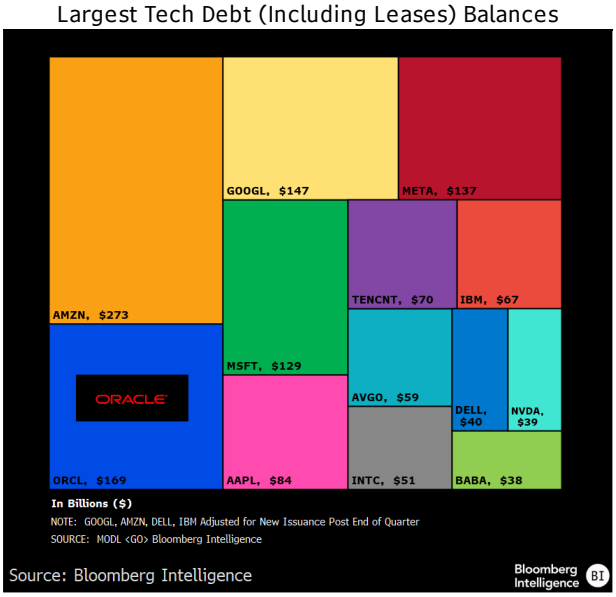
1. Near Top of the Tech's Adjusted Debt List

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Oracle's total debt, including commercial paper, has risen above $125 billion, or about $169 billion on a lease-adjusted basis, placing it among the most highly indebted technology issuers. Only Amazon carries a larger lease-adjusted debt load, with Oracle now above Microsoft, Apple and Broadcom. The burden could rise further as free cash flow remains negative and $288 billion of additional, largely data-center lease commitments begin between fiscal 2Q27 and fiscal 2029.

By market value, Oracle is now the second-largest nonfinancial issuer in the Bloomberg US Corporate Bond Index, behind only Amazon and ahead of Verizon, AT&T, UnitedHealth and Comcast. (10/05/26)

Largest Tech Debt (Including Leases) Balances



2. Ratings Risk Persists as Spending Ramps Up

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Oracle's ratings have weakened materially since 2018, with all three major agencies moving it into the BBB category from A-level ratings by 2021. S&P's July downgrade to BBB- leaves Oracle just one notch above high yield, heightening sensitivity to rising capex, execution risk and persistent cash flow deficits. Still, S&P's Stable outlook and higher BBB ratings at Moody's and Fitch suggest near-term downgrade risk remains contained. S&P's outlook assumes improving profitability, even as fiscal 2027 and later cash shortfalls are partly debt funded.

A fall to high yield would likely make Oracle the largest non-investment-grade corporate issuer by debt outstanding. We view that as unlikely and difficult to sustain over the long term. (10/05/26)

Oracle Credit Rating Table

	Moody's	S&P	Fitch
Ratings	Baa2 / Negative	BBB -/ Stable	BBB / Stable
Possible Triggers:			
Upward Bias	Gross Leverage Around 3x	Unlikely Over Next Two Years	Gross Leverage < 3.0x
	Strong Liquidity: FCF to Total Debt About 10%	Adj Leverage Sustained in Mid-3x Area	Ebitda Margin > 45%
Downward Bias	Leverage >3.5x or Liquidity Weakens	Debt/Ebitda > 4.5x with No Clear Path to Improvment	Gross Leverage > 3.5x
	No Clear Path to Positive FCF	No Path to Positive Fiscal 2029 FOCF	Ebitda Margin < 40%
Note:	Click	Click	Click

Source: Bloomberg Intelligence

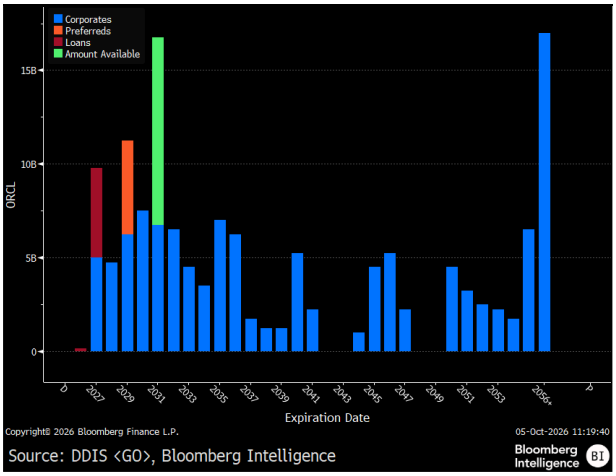
3. $125 Billion Debt Load as AI Funding Needs Rise

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Oracle's debt excluding leases was about $125 billion at fiscal 1Q27-end, down from roughly $131 billion at year-end following repayments. Its long-dated maturity profile and $36 billion of cash provide liquidity support, though roughly $25 billion of debt comes due over the next three years. Consensus free cash flow could fall to about negative $33 billion in fiscal 2027 as the data-center buildout accelerates, reinforcing Oracle's need for continued access to investment-grade capital.

Offsetting that pressure is management's commitment to protecting its investment-grade ratings, including the $20 billion equity raise completed in 1Q and a broader strategy of balancing debt and equity funding. (10/05/26)

Oracle Debt-Maturity Schedule



4. Near-Term Funding Needs Become Clearer

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Oracle's funding plan points to no additional debt issuance in calendar 2026. Management expects about $40 billion of debt and equity financing in fiscal 2027, including the $20 billion ATM equity raise completed in 1Q27, implying roughly $20 billion of additional funding could come from debt if the mix remains unchanged. Oracle also said more than $30 billion of new AI contracts booked in 1Q won't increase its capital-raising plan.

CFO Hilary Maxson said Oracle doesn't anticipate additional debt funding in 2026, while emphasizing disciplined capital allocation, a strong balance sheet and preservation of its investment-grade rating. The sizable equity component provides an important buffer as AI infrastructure spending remains elevated. (10/05/26)

Bloomberg Transcript

"...our fiscal year 2027 with an expected net cash outlay for capital expenditures of around $70 billion. This includes customer prepayments and timing impacts expected at around $20 billion to $25 billion, so our reported CapEx will be higher by this amount...this demand is allowing us to garner customer prepayments and bring your own hardware at similar or better margins than the rest of our contracts...we expect to raise around $40 billion in debt and equity in our fiscal year '27, and that includes our already announced $20 billion at the market equity issuance. We don't anticipate raising additional debt funding in calendar year 2026."

Oracle CFO Hilary Maxson - Fiscal 4Q26 Earnings Call, Oracle
Bloomberg Transcript, June 10, 2026

Click to view entire transcript

5. Second-Largest Nonfinancial High-Grade Issuer

Contributing Analysts Suchi Trivedi

Oracle's more than $93 billion of index-eligible debt by market value ranked eighth in the Bloomberg US Corporate Bond Index as of Oct. 2 and second among nonfinancial issuers. Its index footprint has expanded sharply in recent years despite many bonds trading below par as spreads widened, with several longer-dated issues changing hands below 70 cents on the dollar. (10/05/26)

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Largest High-Grade Debt Issuers in the Index

ISIN	Description	Weight	MV↓
▸	JPM (70 members)	2.26313	166,173,611
▸	MS (67 members)	2.22337	163,253,740
▸	BAC (59 members)	2.05735	151,063,382
▸	GS (51 members)	1.76211	129,385,318
▸	C (53 members)	1.46021	107,217,868
▸	WFC (44 members)	1.42464	104,606,280
▸	AMZN (42 members)	1.39506	102,433,881
▸	ORCL (52 members)	1.27836	93,865,219
▸	HSBC (50 members)	1.19359	87,640,733
▸	T (57 members)	1.06015	77,843,005
▸	VZ (51 members)	1.00775	73,995,498
▸	META (25 members)	0.98067	72,006,934
▸	GOOGL (30 members)	0.90210	66,237,587
▸	UNH (59 members)	0.83362	61,210,016
▸	ABBV (38 members)	0.82101	60,283,408
▸	DUK (118 members)	0.81271	59,674,279
▸	CMCSA (55 members)	0.73339	53,849,978
▸	TMUS (40 members)	0.72524	53,252,035
▸	AAPL (39 members)	0.68095	49,999,945
▸	NEE (65 members)	0.67410	49,496,690
▸	PFE (33 members)	0.66116	48,546,602
▸	AVGO (34 members)	0.65479	48,078,844

Source: PORT <GO>, Bloomberg Intelligence

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